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CASE #	CASE NAME	HEARING NAME
CVRI2406038	CTR VILLAS, LLC VS TTCD INVESTMENTS, LLC	DEMURRER ON 2ND AMENDED COMPLAINT FOR OTHER REAL PROPERTY (OVER \$35,000) OF CTR VILLAS, LLC AS TO CAUSE(S) OF ACTION ACG'S DEMURRERS TO THE FIRST, SECOND, FOURTH, FIFTH, SEVENTH, AND ELEVENTH THROUGH FOURTEENTH CAUSES OF ACTION BY A C G FUNDING, INC.

Tentative Ruling:

Moving party: Defendant ACG Funding, Inc.

Responding party: Plaintiffs CTR Villas, LLC, Andrea Gregg, Huntsman West Foundation

This action concerns an alleged fraudulent scheme to encumber and foreclose upon 4 contiguous residential properties: 6099, 6129, 6139, and 6169 Andalusia Avenue, Jurupa Valley. Plaintiff Andrea Gregg, a 71-year-old woman who suffers from a traumatic brain injury, alleges that she formerly owned these 4 properties. She then gifted 3 of them to her non-profit, Huntsman West Foundation, for charitable purposes benefiting victims of abuse, while retaining one as her personal residence. Huntsman West then transferred its interest in the three properties to Plaintiff CTR Villas, LLC, a non-profit, for the same charitable purposes. Larry Krepps is the managing member of CTR.

Plaintiffs allege that since 2021, Defendant Jimmy Victoria cultivated a close relationship with Gregg, exploiting her vulnerability and religious faith. In June 2022, Victoria allegedly took out 4 separate loans from Defendant TTCD Investments, LLC, totaling \$1.473 million \$(392,000 + 408,000 + 449,000 + 224,000), without Plaintiffs' consent. Each of these loans was secured by a deed of trust against one of the four properties. Plaintiffs allege that the underlying loan documents were fabricated or forged. Plaintiffs assert that they never received the loan proceeds.

Plaintiffs allege that Defendant ACG Funding, Inc. acted as TTCD's loan processor, servicer, and agent. They allege that ACG participated in processing, approving, coordinating, and servicing the loans. Plaintiffs further allege that ACG ignored transaction irregularities that a reasonably prudent lender would have investigated.

Plaintiffs also alleged that Victoria fled. After the purported defaults on these loans, TTCD completed non-judicial foreclosure sales on all four properties on 12/26/24, acquiring title to each. TTCD then initiated 4 unlawful detainer actions, which have been consolidated with this case. Plaintiffs assert that because the underlying deeds of trust were fraudulent, the subsequent foreclosures and trustee's deeds upon sale are also void and of no force.

The operative Second Amended Complaint (“SAC”), filed 5/22/26, asserts: (1) fraud (intentional misrepresentation); (2) fraudulent concealment; (3) undue influence/elder financial abuse; (4) conversion; (5) breach of fiduciary duty; (6) negligence; (7) negligent misrepresentation; (8) civil conspiracy; (9) aiding and abetting; (10) constructive trust; (11) quiet title; (12) cancellation of instrument; (13) wrongful foreclosure; (14) slander of title; (15) (*dismissed*); (16) intentional infliction of emotional distress (IIED); (17) negligent infliction of emotional distress (NIED); (18) through (20) (*dismissed*).

* * *

Now, Defendant ACG Funding, Inc. demurs to the 1st, 2nd, 4th, 5th, 7th, and 11th through 14th causes of action for failure to state facts sufficient. ACG argues that the SAC improperly treats all defendants as interchangeable participants in a scheme involving four real properties, and fails to allege defendant-specific conduct. For the fraud and negligent-misrepresentation claims, ACG contends that Plaintiffs do not identify any false statement that ACG made, by whom or in what manner, or Plaintiffs’ reliance on that false statement. For fraudulent concealment, ACG argues that the SAC alleges no fiduciary or contractual relationship, or any alleged direct communication, that imposed a duty on ACG to disclose. As to conversion, ACG asserts that Plaintiffs cannot claim ownership of loan proceeds while alleging they neither authorized nor received the loans. It further asserts that conversion does not lie for real property interest. For breach of fiduciary duty, ACG argues that allegations that it processed or coordinated loans for TTCD do not create a fiduciary relationship with Plaintiffs. ACG further asserts that the quiet title, cancellation of instrument, wrongful foreclosure, and slander of title claims fail because the SAC does not allege that ACG claimed an adverse interest in the properties, held rights under a challenged instrument, caused/conducted a foreclosure, or published a false statement affecting title.

In opposition, Plaintiffs argue that the SAC alleges a coordinated fraudulent scheme, not an ordinary lending dispute or routine nonjudicial foreclosure. Plaintiffs argue that ACG actively and affirmatively participated in originating, processing, reviewing, approving, servicing, and enforcing the challenged loans; accepted or transmitted purported authority documents; coordinated title and closing activity; and ignored obvious irregularities in the loan documentation. Plaintiffs argue that the SAC alleges ACG’s knowing participation and substantial assistance, and that ACG’s knowledge or intent are facts that cannot be resolved on demurrer. Plaintiffs further argue that ACG may be liable for claims arising from allegedly void instruments even if it did not hold record title. Alternatively, Plaintiffs request leave to amend.

In reply, ACG argues that generalized accounts of processing, servicing, red flags, and participation in an alleged fraudulent scheme do not establish the elements of the challenged claims. It otherwise repeats its arguments in the moving papers.

Analysis

Meet & Confer

Code of Civil Procedure section 430.41 requires a meet and confer process via *phone, videoconferencing, or in person* before filing a demurrer. The meet and confer process requires the moving party to identify the causes of action or allegations subject to attack and the plaintiff must provide legal support for its position. (*Id.* at § 430.41(a)(1).) The demurring party must file a declaration stating the means by which the parties met and conferred, or the responding party failed to respond or meet and confer in good faith. (*Id.* at § 430.41(a)(3).) Here, defense counsel met and conferred with Plaintiff's counsel over the phone on 6/15/26. Defendant complied.

Demurrer

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (CCP § 430.10(e).) A demurrer tests the legal sufficiency of the pleading, but not the truthfulness of the allegations. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Id.*)

Fraud (1st Cause of Action), Fraudulent Concealment (2nd Cause of Action), and Negligent Misrepresentation (7th Cause of Action)

Causes of action for "fraud" and "intentional misrepresentation" are all causes of action sounding in "deceit based on intentional misrepresentation." (*Manderville v. PCG&S Group* (2007) 146 Cal.App.4th 1486, 1498, fn. 4.) The elements of fraud are (1) misrepresentation of a material fact (consisting of a false representation, concealment or non-disclosure); (2) knowledge of the falsity (i.e., scienter); (3) intent to deceive and induce reliance; (4) justifiable and actual reliance on the misrepresentation; and (5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445.)

Fraud actions, including negligent misrepresentation, are subject to strict requirements of particularity in pleading. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 216; *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.) A plaintiff must allege what was said, by whom, in what manner (i.e. oral or in writing), when, and, in the case of a corporate defendant, under what authority to bind the corporation. (See *Goldrich v. Natural Y Surgical Specialties, Inc.* (1994) 25 Cal.App.4th 772, 782.) Less specificity is required where the defendant necessarily possesses the information. (*Committee on Children's Television, Inc. v. General Foods Corp.*, *supra*, 35 Cal.3d at 216.) Fraud allegations need not be liberally

construed, general pleading of the legal conclusion of fraud is insufficient, and every element of the cause of action for fraud must be alleged fully, factually and specifically. (*Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331; see also *Quelimane Co., Inc. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.) Generally, the particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

The necessary elements for negligent misrepresentation are: (1) the defendant’s assertion of an untrue fact; (2) the fact was believed by the defendant to be true; (3) the defendant lacked a reasonable ground for the belief; (4) the defendant intended to induce the plaintiff’s reliance upon the representation; (5) plaintiff’s justifiable reliance upon the representation; and (6) resulting damage. (*Melican v. Regents of University of California*) (2007) 151 Cal.App.4th 168, 182.)

Here, the SAC alleges that “Defendants” falsely represented that they “had valid authority or consent to record deeds of trust or other instruments encumbering the Properties,” that the “foreclosure proceedings ... were lawful,” and that “Defendants’ acquisition of title through trustee’s sale was valid, final and authorized by law.” (SAC, ¶¶ 92-94.) As to ACG, however, the SAC alleges only that ACG participated in “originating, brokering, processing, approving, servicing, communicating about, or coordinating the loans,” while also “coordinating the ... related default/foreclosure activity,” “communicated with participants, gathered or accepted entity-authority documents, facilitated title approval, coordinated loan closing, received fees, [and] handled or assisted with loan servicing/payment/default issues,” and “participated in conduct directly affecting Plaintiffs’ title, equity, possession, and property rights.” (SAC, ¶¶ 23, 52, 81, 133.)

The SAC does not identify a single statement that ACG made, the ACG employee or agent who made it, the date or manner of the statement (oral/written), the Plaintiff who received that statement, or facts showing any Plaintiff acted in reliance on it. (SAC, ¶¶ 92-96.) The allegation that Plaintiffs “Plaintiffs reasonably relied upon the validity of the recorded public documents” and “apparent authority of Defendants” does not identify an ACG representation or explain how ACG concealed material facts. (SAC, ¶¶ 95, 99-104.)

As to concealment, the SAC does not identify a direct communication, transaction, or a fiduciary relationship between ACG and any Plaintiff. The SAC does not allege that ACG undertook to communicate with Plaintiffs or assumed an independent duty to disclose. The allegations that ACG “undertook to process and verify the transactions in a manner that would directly affect Plaintiffs’ property and title rights” or should have recognized some “red flags” do not, without more, establish a duty to disclose. (SAC, ¶¶ 57, 81.)

Here, therefore, the SAC does not state a fraud claim against ACG or establish its duty to disclose. The court sustains the demurrer to the 1st, 2nd, and 7th claims with leave to amend.

Conversion (4th Cause of Action)

“The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages.” (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240.) “Money cannot be the subject of a cause of action for conversion unless there is a specific, identifiable sum involved....” (*PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 395.) Conversion is “a tort that may be committed only with relation to personal property and *not* real property.” (*Munger v. Moore* (1970) 11 Cal.App.3d 1, 7, emphasis added.)

Here, the allegations concerning real-property interests cannot support conversion under the *Munger* standards, while the allegations concerning loan proceeds do not identify a specific sum that Plaintiffs actually owned or possessed. Rather, the SAC alleges that Defendants diverted proceeds that Plaintiffs *never* received. (SAC, ¶¶ 46, 121.) There was no identifiable sum belonging to Plaintiffs as pled. The court sustains the demurrer with leave to amend.

Breach of Fiduciary Duty (5th Cause of Action)

This claim requires a “special” relationship beyond a normal lender-borrower relationship. (*Oaks Management Corporation v. Superior Court* (2006) 145 Cal.App.4th 453, 466.) Here, the FAC alleges ACG’s participation in a transaction for TTCD and acted as TTCD’s agent. (SAC, ¶¶ 52, 81, 133.) It does not allege a fiduciary relationship between Plaintiffs and ACG. The court therefore sustains the demurrer to the 5th claim with leave to amend.

Quiet Title (11th), Cancellation of Instrument (12th), Wrongful Foreclosure (13th), Slander of Title (14th)

Quiet Title

The elements of a quiet title action are (1) legal description and street address of the property; (2) plaintiff’s title or interest and the basis; (3) defendant’s asserting adverse claim or antagonistic property interest; (4) date as of which the determination is sought; and (5) prayer for determination of title. (CCP § 761.020.)

Here, as to ACG, the SAC does not allege that ACG holds title or otherwise asserts an adverse interest in the four properties. It does not plead an adverse claim by ACG. The court sustains the demurrer to the 11th cause of action with leave to amend.

Cancellation of Instrument

Cancellation of instruments requires: (1) a written instrument; (2) a reasonable apprehension that it may cause serious injury to someone; and (3) as to whom it is void or voidable. (Civil Code §3412.)

Here, the SAC does not allege that ACG executed, recorded, or requested recordation of any written instrument. It also does not allege that ACG claims rights under or holds an interest in any identified instrument. This is insufficient. The court sustains the demurrer to the 12th cause of action with leave to amend.

Wrongful Foreclosure

“Civil Code sections 2924 ... ‘provide a comprehensive framework for the regulation of a nonjudicial foreclosure sale pursuant to a power of sale contained in a deed of trust.’” (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 101.) “The statutory scheme has three purposes: ‘(1) to provide the creditor/beneficiary with a quick, inexpensive and efficient remedy against a defaulting debtor/trustor; (2) to protect the debtor/trustor from wrongful loss of the property; and (3) to ensure that a properly conducted sale is final between the parties and conclusive as to a bona fide purchaser.’” (*Id.* at 102.)

The elements for wrongful foreclosure are: (1) trustee caused an illegal, fraudulent or willfully oppressive sale of real property pursuant to a power of sale in a deed of trust; (2) the party attacking the sale was prejudiced or harmed; and (3) the trustor tendered the amount of the indebtedness or was excused from tendering. (*Miles v. Deutsche Bank National Trust Company* (2015) 236 Cal.App.4th 394, 408.) Technical violations are insufficient as “the foreclosure must have been entirely unauthorized on the facts of the case.” (*Id.* at 409.)

Here, the SAC alleges that TTCD was the “foreclosing creditor,” “named beneficiary on the deeds of trust,” and purchaser under the trustee’s deeds. (SAC, ¶¶ 22, 51, 61-64.) The SAC does not allege sufficient foreclosure-specific conduct of ACG’s part. The court sustains the demurrer with leave to amend.

Slander of Title

The elements of slander of title are: (1) a publication, (2) which is without privilege or justification, (3) which is false, and (4) which causes direct and immediate pecuniary loss. (*Truck Insurance Exchange v. Bennett* (1997) 53 Cal.App.4th 75, 84.) Here, the SAC does not identify a particular instrument ACG published or caused another entity/person to publish. Allegations that ACG processed or coordinated loans and foreclosure activity are not sufficient to satisfy the necessary publication element. The demurrer is sustained with leave to amend.

Summary:

Sustain the demurrer to the 1st, 2nd, 4th, 5th, 7th, 11th, 12th, 13th, and 14th causes of action with 21 days' leave to amend.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2406420	DUPUY VS GUMM	MOTION TO COMPEL FURTHER RESPONSES TO REQUESTS FOR PRODUCTION OF DOCUMENTS, SET TWO, TO ANDREA GUMM; BY JESSIE DUPUY, KENNETH MICHAEL DUPUY
CVRI2406420	DUPUY VS GUMM	MOTION TO COMPEL FURTHER RESPONSES TO REQUESTS FOR ADMISSION, SET TWO, TO ANDREA GUMM; BY JESSIE DUPUY, KENNETH MICHAEL DUPUY
CVRI2406420	DUPUY VS GUMM	MOTION TO COMPEL FURTHER RESPONSES TO SPECIAL INTERROGATORIES, SET TWO BY JESSIE DUPUY, KENNETH MICHAEL DUPUY

Tentative Ruling:

Moving party: Kenneth Micheal Dupay and Jessie Dupay, Plaintiffs and Cross-Defendant, in pro per ("the Dupays")

Responding party: Cross-Complainant Andrea Gumm

On November 21, 2024, a Complaint was filed for injunctive relief and damages for: (1) civil harassment; (2) private nuisance; (3) intentional infliction of emotional distress (IIED); (4) unlawful noise disturbance (5) reckless and dangerous driving; (6) unlawful noise disturbance; (7) negligence; (8) intentional infliction of emotional distress, negligence, and assault; and (9) intentional interference with quiet enjoyment. A First Amended Complaint was filed on January 3, 2025.

A Second Amended Complaint was filed on February 20, 2025 for: (1) civil harassment (injunctive inclusive, relief only); (2) private nuisance; (3) intentional infliction of defendants. emotional distress (IIED); (4) negligence (including reckless driving); and (5) intentional interference with quiet enjoyment unlimited civil jurisdiction). A Third Amended Complaint was filed on August 19, 2025.